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dynamic service sector, which is also growing fast. The data needs to be examined from a holistic perspective, keeping view of the absolute contribution and not just sectoral shares.

In parallel, the policy push for greater ease-of-doing business is clear. This is reflected in initiatives aimed at deregulation, both by the Centre and the states and in legislation like the Jan Vishwas Bill. Substantial progress in the manufacturing sector is reflected in exports of a diversified set of items ranging from electronics and toys to defence. Between FY15 and FY26, India's defence exports recorded a robust compound annual growth rate of 31.2%. This strong momentum continued in FY26, with defence exports touching a record high of ₹38,400 crore, reflecting year-on-year growth of 62.7%.

The manufacturing-led transformation has been an important pathway to prosperity globally. The external context for building manufacturing, however, has changed dramatically with geopolitical tensions, protectionism and tariff wars stalling multilateral trade negotiations. This trend reflects broader geoeconomic fragmentation, restricted technology flows, barriers to labour mobility and uncertainty on global public goods. Global supply chains are being restructured, often being re-shored. Advanced countries are incentivising localisation of production through aggressive pursuit of industrial policy.

The resurgence of industrial policy in both developing and developed nations marks a significant shift in economic strategy. India has the potential to improve manufacturing value added and employment despite global protection policies.

Q: How far has the PLI (production-linked incentives) scheme been successful in boosting domestic manufacturing?

A: Several PLI sectors have performed well, such as electronics, automobiles and pharmaceuticals. At the same time, some sectors such as medical devices are starting to scale. The government's push towards creating a conducive policy ecosystem, deregulation and ease of doing business will give a further push to various manufacturing sectors.

The trade agreements India is entering into will also expand market access and be a significant multiplier.

Q: Do we need to change our policies so that more components are manufactured locally, instead of assembling?